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FUTURES TRADING

Futures trading is a quasi-cash trade. In the futures market, we do not have to pay the full amount of the asset. We only pay a margin i.e. safety money as a deposit to be used whenever there is a loss. So, if we buy 100 shares of Rs. 200 each and the margin to be paid is 15%, so instead of paying the entire Rs. 20,000 we will only deposit Rs. 3000. This is deposited with the broker and daily losses and profits are added or deducted to this. Let us say, the price of the asset increases from Rs. 200 to Rs. 220, we earn a profit of Rs. 2000. As a result, we will see that Rs. 3000 deposit increases to Rs. 5000. If the price had gone down from Rs. 200 to Rs. 180, we would have had a loss of Rs. 2000 and the deposit would have decreased to Rs. 1000.

We see with futures that the loss or profit we make in percentage terms is much higher than the actual percentage change in the asset market price. This is because, in the futures market, we are using leverage. We are not paying the full price for the asset. Instead, we are only paying a part of the same i.e. 15% in this case.

